Chapter 3: Spending from Volatile Investments and Sequence-of-Returns Risk

Retirees spending from investment portfolios face market risk. Market volatility causes investment returns to vary over time. Market volatility is further amplified by the growing impact of sequence-of-returns risk in retirement. This is the heightened vulnerability individuals face regarding the realized investment portfolio returns in the years around their retirement date—it adds to the uncertainty in retirement by making retirement outcomes more contingent on a shorter period of investment returns. The financial market returns experienced near retirement matter a great deal more than most people realize. Even with the same average returns over a long period of time, retiring at the start of a bear market is very dangerous; wealth can be rapidly depleted as withdrawals are made from a diminishing portfolio, leaving less wealth to benefit from any subsequent market recovery.

Though sequence-of-returns risk is related to general investment risk and market volatility, it differs from general investment risk. The average market return over a thirty-year retirement period could be quite generous. But if negative returns are experienced when you start spending from your portfolio, you will face a difficult hurdle to overcome even if the market offers higher returns later in retirement.

The dynamics of sequence risk suggest that a prolonged recessionary environment early in retirement could jeopardize the retirement prospects for a particular cohort of retirees. That scenario does not imply a large-scale economic catastrophe. This is a subtle but important point. Some retirees could experience very poor retirement outcomes relative to those retiring a few years earlier or later.

Sustainable withdrawal rates can fall below what would be expected for average market returns over long periods of time, because the ordering of those returns matters. Poor early returns followed by strong later returns can still derail a retirement plan. It is worthwhile to further quantify the impact